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Performance Forecast for Unicharm (TYO: 8113)

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Forecast & Recommendation

Financial Metric	FY 2025 Projection	FY 2026 Projection	YoY Growth
Revenue	975,190	975,190	0.00%
Operating Income	138,288	138,204	-0.06%
Net Profit	94,334	93,922	-0.44%

Flat 2026 outlook with limited upside; Hold / Do Not Buy recommended

Methodology: Data Collection

- Base Variables
 - Revenue, Operating Income, Net Profit, COGS
 - Macroeconomic Indicators: CPI & Exchange Rate
- Lagged Variables
 - Lag 1: Prior quarter (momentum)
 - Lag 4: Same quarter, prior year (seasonality)

Methodology: Data Collection

```
def create_features(data):  
    df_feat = data.copy()  
  
    # Feature 1: Seasonality (Quarter 1-4)  
    # Divide Quarters  
    df_feat["Quarter"] = df_feat["Date"].dt.quarter  
  
    # Feature 2: Lags (Past Performance)  
    # The best predictor of tomorrow is often today (Lag 1) or this time last year  
    for col in ["Revenue", "Operating Income", "Net Profit"]:  
        df_feat[f"{col}_Lag1"] = df_feat[col].shift(1) # Previous Quarter  
        df_feat[f"{col}_Lag4"] = df_feat[col].shift(4) # Same Quarter Last Year  
  
    # B. MACRO LAGS (Your Request: "Known at time t")  
    # We shift these so we predict T using data from T-1  
    macros = ['Diapers_Exp', 'Cosmetics', 'CPI_YoY', 'Exchange_Rate', 'Cardboard', 'Sales of daily consumer goods', 'COGS']  
    for col in macros:  
        df_feat[f"{col}_Lag1"] = df_feat[col].shift(1)  
  
    # Drop the first 4 rows because they now have NaNs (no history for them)  
    df_feat = df_feat.dropna().reset_index(drop=True)  
  
    return df_feat  
  
df_model = create_features(df)
```

Methodology: Data Collection



Diaper Expenditures



Cardboard Prices



Sales of Cosmetics



Sales of Daily Household Goods

Forecasting Methodology

- 11 input variables
- Random Forest Regression
- Captures non-linear relationships
- Consensus-style model (averages many trees)
- More stable, less biased forecasts

Methodology: Deriving Feature Importance

Feature Importance

- Random Forest feature importance (sklearn)
- All variables $> 1\%$ importance = All inputs are meaningful

--- Top Drivers for Revenue ---

Feature	Importance
Revenue_Lag1	0.546527
Cosmetics_Lag1	0.257605
Revenue_Lag4	0.074837
Diapers Exp_Lag1	0.040675
Sales of daily consumer goods_Lag1	0.027322

--- Top Drivers for Operating Income ---

Feature	Importance
Cosmetics_Lag1	0.583521
Revenue	0.079379
Operating Income_Lag4	0.069778
Operating Income_Lag1	0.068642
Cardboard_Lag1	0.065273

--- Top Drivers for Net Profit ---

Feature	Importance
Operating Income	0.675381
Revenue	0.079226
Sales of daily consumer goods_Lag1	0.067701
Net Profit_Lag1	0.039519
Cosmetics_Lag1	0.034663

Conclusion

Forecast Summary

- Revenue and profits flat through FY 2026

Investment View

- Stock appears fairly valued
- Hold recommendation
- Await clearer long-term growth signals

Thank You